

Chipotle Mexican Grill

NYSE : CMG \$45.58B mkt cap · 1.30B sh · \$1.05B cash, zero debt · Net cash ~\$1.05B, no funded debt; ~1.30B fully-diluted shares (50:1 split-adjusted) —  
· Mature- solvency a non-issue; Revenue \$11.93B FY25 (+6%); GAAP op margin 16.2% (off the 16.9% peak); FCF ~\$1.4B (~12%), capex ~11-12% on  
Company new units; Down ~14% YTD / ~36% TTM near the 52-week low (\$29.75-\$58.42); ~30x FCF, cheapest in years  
DCF

\$35.00

THE CENTRAL QUESTION

As comps inflect barely positive while restaurant-level margin compresses, does the 4,100→7,000 unit runway re-rate the stock, or is ~30x FCF already full?

Chipotle trades at ~\$41.96B (~\$32.23, down ~14% YTD / ~36% TTM, near the 52-week low) — ~30x FCF on \$11.93B revenue, net cash, GAAP op margin 16.2% off a 16.9% peak. Q1'26 comps just turned positive (+0.5%, traffic-led, no price), but restaurant-level margin fell 250bps as management declines to fully price mid-single-digit inflation to defend value. The bull is the unit runway (~4,100 → 7,000 NA) plus throughput/automation; the bear is a maturing concept with structurally low-single-digit same-store growth at a premium multiple. The weighted DCF lands -4.8% — the modal base (-5.5%) only reaches about today's price; the runway is real, the multiple already pays for it.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$30.68

expected fair value today  
-12.3% vs spot \$35.00

FORWARD COMPOUNDED VALUE

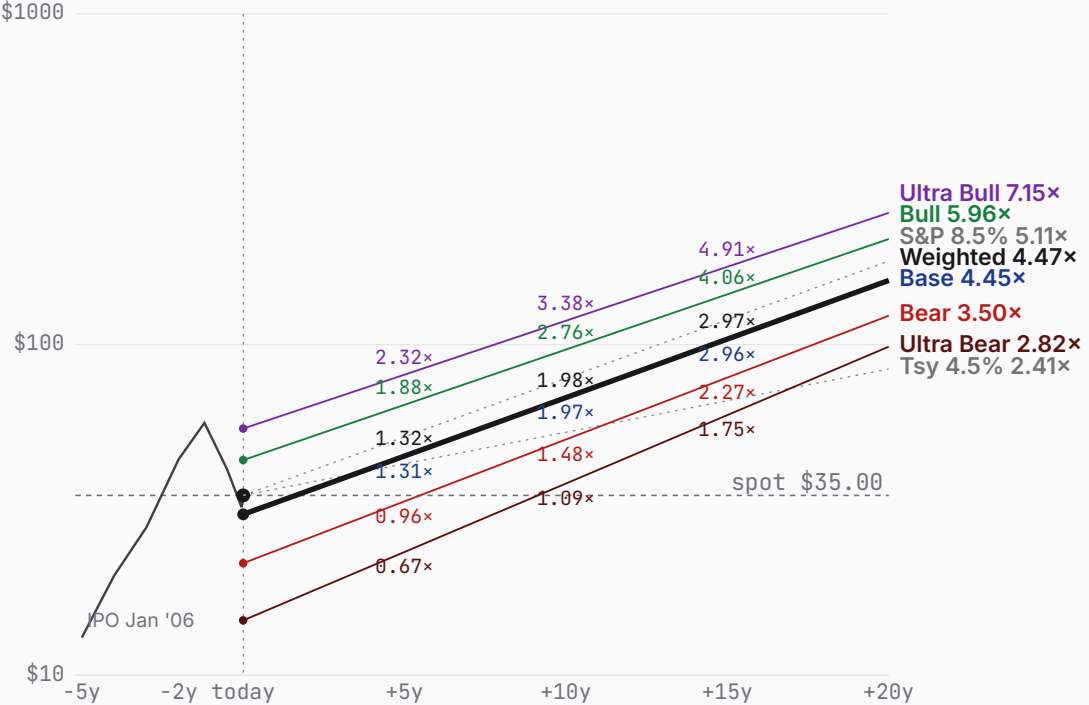
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$46.05    | \$69.17    | \$103.97   | \$156.41   |
| 1.32× spot | 1.98× spot | 2.97× spot | 4.47× spot |

WEIGHTING RATIONALE

**Ultra Bear 13%** Comps roll over and margin slides; ~\$14.66 (-54%).  
**Bear 27%** Units grow but same-store stays sluggish; ~\$21.83 (-32%).  
**Base 34%** Runway delivers at low-single-digit comps; ~\$30.47 (-5.5%).  
**Bull 18%** Throughput inflects, comps and margin lift; ~\$44.77 (+39%).  
**Ultra Bull 8%** Full runway plus automation; ~\$55.75 (+73%).

Bull (18%) + Ultra Bull (8%) together contribute \$12.52 — 41% of the \$30.68 expected value despite 26% combined probability. Today's spot (\$35.00) sits 14% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                   | \$14.66        | BEAR                                        | \$21.83        | BASE                                        | \$30.47        | BULL                                          | \$44.77        | ULTRA BULL                                   | \$55.75        |
|----------------------------------------------|----------------|---------------------------------------------|----------------|---------------------------------------------|----------------|-----------------------------------------------|----------------|----------------------------------------------|----------------|
|                                              | -58.1% vs spot |                                             | -37.6% vs spot |                                             | -12.9% vs spot |                                               | +27.9% vs spot |                                              | +59.3% vs spot |
| CAGR +3.0% WACC 10.0%<br>CAGR +3.0% Prob 13% |                | CAGR +5.4% WACC 9.0%<br>CAGR +5.4% Prob 27% |                | CAGR +7.8% WACC 8.5%<br>CAGR +7.8% Prob 34% |                | CAGR +10.0% WACC 8.0%<br>CAGR +10.0% Prob 18% |                | CAGR +11.8% WACC 7.8%<br>CAGR +11.8% Prob 8% |                |
| Comps roll over; margin keeps sliding.       |                | Units grow; same-store stays sluggish.      |                | Runway delivers; comps low-single-digit.    |                | Throughput inflects; comps and margin lift.   |                | Full runway plus automation; FCF machine.    |                |

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2EB

ALAMEDA RESEARCH  
2: ELECTRIC BOOGALOO  
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Chipotle Mexican Grill scenario narratives

PROBABILITY WEIGHTS

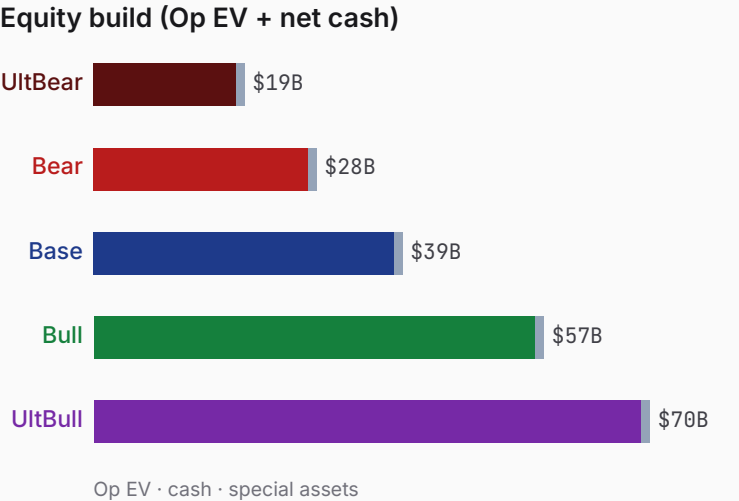
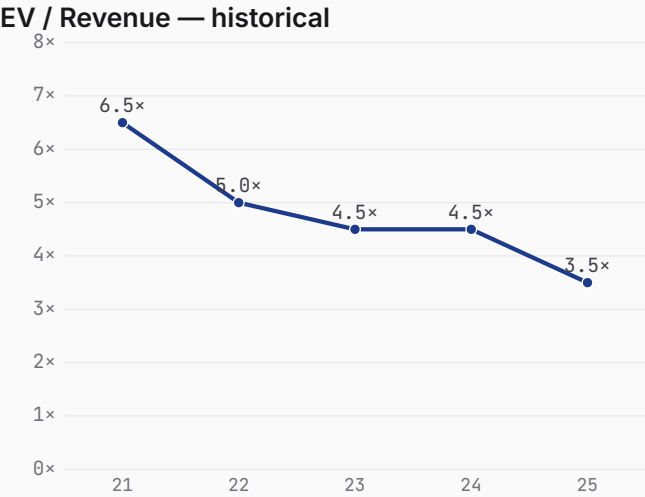
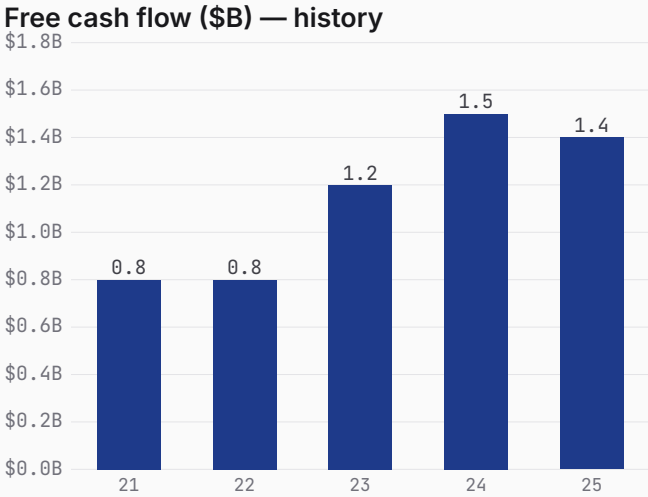
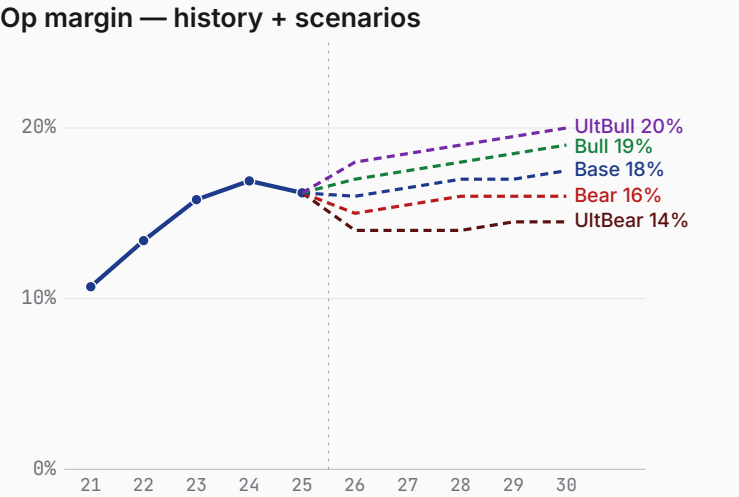
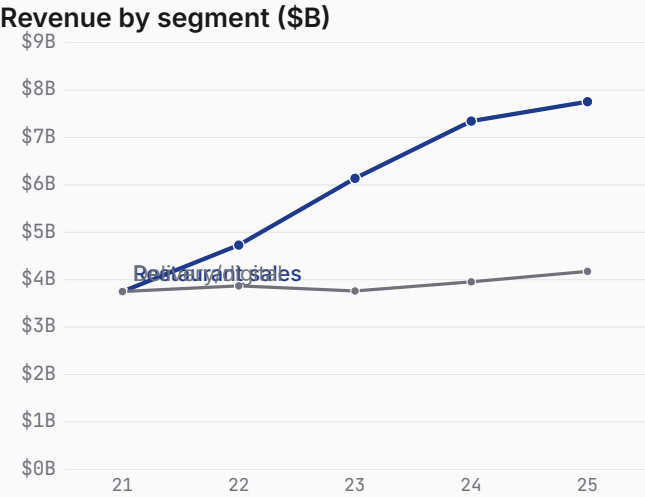
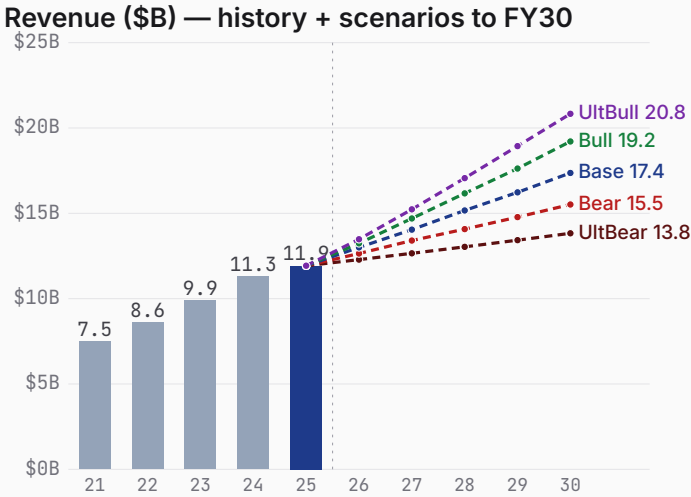
Ultra Bear 13% Bear 27% Base 34% Bull 18% Ultra Bull 8% · Weighted expected \$30.68 (-12.3% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                                                                                                           | \$14.66        | BEAR                                                                                                                                                                                                                                                                                                                                              | \$21.83        | BASE                                                                                                                                                                                                                                                                                                           | \$30.47        | BULL                                                                                                                                                                                                                                                                                                         | \$44.77        | ULTRA BULL                                                                                                                                                                                                                                                                                                                             | \$55.75        |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
|                                                                                                                                                                                                                                                                                                                                                                      | -58.1% vs spot |                                                                                                                                                                                                                                                                                                                                                   | -37.6% vs spot |                                                                                                                                                                                                                                                                                                                | -12.9% vs spot |                                                                                                                                                                                                                                                                                                              | +27.9% vs spot |                                                                                                                                                                                                                                                                                                                                        | +59.3% vs spot |
| Probability 13%                                                                                                                                                                                                                                                                                                                                                      |                | Probability 27%                                                                                                                                                                                                                                                                                                                                   |                | Probability 34%                                                                                                                                                                                                                                                                                                |                | Probability 18%                                                                                                                                                                                                                                                                                              |                | Probability 8%                                                                                                                                                                                                                                                                                                                         |                |
| Comps roll over; margin keeps sliding.                                                                                                                                                                                                                                                                                                                               |                | Units grow; same-store stays sluggish.                                                                                                                                                                                                                                                                                                            |                | Runway delivers; comps low-single-digit.                                                                                                                                                                                                                                                                       |                | Throughput inflects; comps and margin lift.                                                                                                                                                                                                                                                                  |                | Full runway plus automation; FCF machine.                                                                                                                                                                                                                                                                                              |                |
| WHY 13%                                                                                                                                                                                                                                                                                                                                                              |                | WHY 27%                                                                                                                                                                                                                                                                                                                                           |                | WHY 34%                                                                                                                                                                                                                                                                                                        |                | WHY 18%                                                                                                                                                                                                                                                                                                      |                | WHY 8%                                                                                                                                                                                                                                                                                                                                 |                |
| The genuine bear: comps were negative three straight quarters into Q1'26, the +0.5% carries no price, and the 250bps margin cut shows inflation isn't being recovered. 13% on the inflection failing and value-wars biting.                                                                                                                                          |                | Unit growth continues but soft comps + value-perception drag + unrecovered inflation keep the P&L flat. 27% as the plausible 'opens stores but doesn't re-accelerate' path, given the comp history and the guide-to-flat.                                                                                                                         |                | Requires the unit runway to convert at roughly today's unit economics with low-single-digit comps — consistent with the 'Recipe for Growth' plan, not a step-change re-acceleration. 34% as the central, near-fair outcome.                                                                                    |                | Throughput/automation plus a sustained traffic turn is credible given the brand's ~\$3M AUV and the makeline tests. ~18% on the operational lift compounding rather than fading.                                                                                                                             |                | Everything works — comps AND automation margins AND the full unit runway AND international, the premium-compounder outcome. ~8%, the long-duration tail.                                                                                                                                                                               |                |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                         |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                      |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                   |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                 |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                           |                |
| Value-perception softness wins: traffic gives back the +0.5% inflection, same-store sales go flat-to-negative, and beef/freight/labor inflation that management won't price keeps restaurant-level margin grinding below 23% toward a low-14% company op margin. The unit machine keeps opening but de-levers a softening top line, so FCF margin slips toward ~10%. |                | Units keep opening toward the 7,000 runway but same-store sales stay low-single-digit and traffic-led, while inflation the brand won't fully price holds restaurant-level margin around recent levels rather than recovering. Revenue compounds ~5% to ~\$15B at a ~12% FCF margin — the runway is real, the comp engine and margin lift are not. |                | The modal path: openings run at the high end (~350-370/yr) toward the 7,000 NA target, comps settle low-single-digit, and restaurant-level margin stabilizes near current levels as throughput and the Hyphen makeline offset some inflation, lifting FCF margin toward ~14%. Revenue compounds ~8% to ~\$17B. |                | The traffic inflection holds and compounds: digital, the Hyphen automated makeline, and throughput initiatives lift transactions and restaurant-level margin back toward the high-25s even before price, units accelerate toward 7,000, and FCF margin climbs past 15%. Revenue compounds ~10% to ~\$18-19B. |                | The full second act: the 7,000 NA runway plays out at high-end unit economics, automation (Hyphen) and digital structurally lift margins past 19% op / ~17% FCF, and international (Mexico, Korea/Singapore JV) opens a fresh capital-light leg. Revenue compounds ~12% to ~\$20B and Chipotle reclaims a premium-compounder multiple. |                |
| A maturing premium QSR whose comps and margins are both eroding earns a low-single-digit-growth, ~13x terminal FCF multiple → DCF ~\$14.66 (-54%). Net cash floors the equity but cannot offset a stalled same-store engine.                                                                                                                                         |                | DCF ~\$21.83 (-32%) — a slowing-comp grower at a still-rich multiple is worth meaningfully below today's price; the discount is warranted if same-store growth stays structurally low and margins don't re-expand.                                                                                                                                |                | DCF ~\$30.47 (-5.5%) — roughly fair. A ~10% unit runway is genuinely valuable, but at ~14% terminal FCF margin and a ~19x EV/FCF the modal case only recovers to about today's spot; ~30x FCF already prices the runway in.                                                                                    |                | DCF ~\$44.77 (+39%) — if comps re-accelerate and automation widens unit margins as the base expands, the franchise re-rates with its fundamentals; this is the core of the bull.                                                                                                                             |                | DCF ~\$55.75 (+73%) — best-in-class brand, automation-led margins, and a global runway re-rated together; ~8% probability, the asymmetric upside the de-rated entry is buying.                                                                                                                                                         |                |

Chipotle Mexican Grill business snapshot

Bear \$21.83 Base \$30.47 Bull \$44.77

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results



Sources: SEC XBRL company facts (CIK 1058090), Chipotle Q1 FY2026 release (Apr 29 2026: revenue \$3.1B/+7.4%, comps +0.5% traffic-led, restaurant-level margin 23.7% (-250bps), ~4,100 units, ~7,000-unit NA target). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. Multiples vs SHAK/CAVA/WING/MCD.

# Chipotle Mexican Grill 7 Powers · the moat, scored

Bear \$21.83 Base \$30.47 Bull \$44.77

**Arena.** Premium fast-casual / fast food — Chipotle (the premium QSR brand, ~\$3M AUV, ~4,100 company-owned units) vs Cava, Shake Shack, Wingstop and the QSR value set (McDonald's, Taco Bell); auditing a brand Power against QSR value-wars and value-perception softness.

**POWER AUDIT**  
dominant-power durability: high

POWER AUDIT · 7 POWERS

|                                     |                                                                                                                                                                                  |
|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Scale Economies<br>■■■              | ~\$12B revenue, ~4,100 company-owned units → real sourcing/marketing/G&A leverage and a self-funded build; second only to branding here.                                         |
| Network Economies<br>■■■            | None - restaurants aren't networks; the app/loyalty is a channel, not a network effect.                                                                                          |
| Counter-Positioning<br>■■■          | Was the 'food with integrity' fast-casual disruptor; now the scaled incumbent, so this has faded.                                                                                |
| Switching Costs<br>■■■              | Near-zero - dining is promiscuous; loyalty/digital nudges repeat but every meal is a fresh decision.                                                                             |
| Branding · thesis leans here<br>■■■ | The dominant Power: a best-in-class premium QSR brand with ~\$3M AUV well above peers and genuine pricing power - though it's choosing not to fully exercise it to defend value. |
| Cornered Resource<br>■■■            | Prime real estate, supply relationships and recipe/operations IP; valuable but not truly cornered.                                                                               |
| Process Power<br>■■■                | Throughput discipline and Hyphen makeline automation - a real emerging lever but unproven at the 7,000-unit scale; the bull's swing factor.                                      |

COMPETITIVE READ

Chipotle's brand Power is dominant and durable - a best-in-class premium QSR with ~\$3M AUV, real scale economies across ~4,100 company-owned units, and pricing power it is deliberately not fully using to defend value. The Audit: branding is durable (high), process\_power (throughput, Hyphen automation) is the emerging swing factor, and the live threats are QSR value-wars / value-perception softness plus unrecovered beef/labor inflation that just cut restaurant-level margin 250bps. The franchise quality isn't in question; the price is. Comps barely turned positive (+0.5%, no price) while the stock still trades ~30x FCF, and the weighted DCF lands -4.8% - the unit runway is real and the brand is excellent, but the modal case (-5.5%) shows the multiple already pays for the runway, leaving the upside in the bull/ultra automation-and-comps re-acceleration.

PEER SET

|                                                                                                                                   |                                   |
|-----------------------------------------------------------------------------------------------------------------------------------|-----------------------------------|
| Cava (CAVA)<br>The fast-casual growth darling; richest multiple in the set, the unit-growth comp Chipotle is benchmarked against. | 25% gr · 12% mgn · ~46x EV/EBITDA |
| Shake Shack (SHAK)<br>Premium 'better burger', smaller and thinner-FCF; a same-archetype premium-brand unit-growth comp.          | 6% gr · 4% mgn · ~13x EV/EBITDA   |
| Wingstop (WING)<br>Asset-light franchise compounder; richly valued but wobbling - Q1'26 domestic SSS -8.7%.                       | 11% gr · 25% mgn · ~37x EV/EBITDA |
| McDonald's (MCD)<br>The QSR value benchmark; the value-wars/trade-down pressure on Chipotle's premium pricing.                    | 5% gr · 45% mgn · ~25x P/E        |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                            |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Branding · QSR value-wars / trade-down (McDonald's, Taco Bell value menus)<br>falsifier: Comps stay flat-to-negative as premium pricing loses to value in a soft consumer and value-perception softens.    |
| Scale Economies · Beef/freight/labor inflation management won't fully price<br>falsifier: Restaurant-level margin falls further below ~23%, rolling back the unit economics the runway needs.              |
| Process Power · Cava / a crowded fast-casual field + throughput limits<br>falsifier: Same-store traffic fades and automation doesn't lift margin, so the 7,000-unit build compounds at low unit economics. |

Chipotle Mexican Grill show your work

Bear \$21.83 Base \$30.47 Bull \$44.77 · Weighted \$30.68 (-12.3%)

| ULTRA BEAR                                |         |         |         |        | \$14.66  | BEAR                                      |         |          |       |         | \$21.83  | BASE                                      |          |        |         |         | \$30.47  | BULL                                      |       |         |          |          | \$44.77  | ULTRA BULL                                |         |          |          |          | \$55.75  |
|-------------------------------------------|---------|---------|---------|--------|----------|-------------------------------------------|---------|----------|-------|---------|----------|-------------------------------------------|----------|--------|---------|---------|----------|-------------------------------------------|-------|---------|----------|----------|----------|-------------------------------------------|---------|----------|----------|----------|----------|
| ASSUMPTIONS                               |         |         |         |        |          | ASSUMPTIONS                               |         |          |       |         |          | ASSUMPTIONS                               |          |        |         |         |          | ASSUMPTIONS                               |       |         |          |          |          | ASSUMPTIONS                               |         |          |          |          |          |
| 5y revenue CAGR (%)                       |         |         |         |        | +3.0     | 5y revenue CAGR (%)                       |         |          |       |         | +5.4     | 5y revenue CAGR (%)                       |          |        |         |         | +7.8     | 5y revenue CAGR (%)                       |       |         |          |          | +10.0    | 5y revenue CAGR (%)                       |         |          |          |          | +11.8    |
| Year-5 op margin (%)                      |         |         |         |        | 14.5     | Year-5 op margin (%)                      |         |          |       |         | 16.0     | Year-5 op margin (%)                      |          |        |         |         | 17.5     | Year-5 op margin (%)                      |       |         |          |          | 19.0     | Year-5 op margin (%)                      |         |          |          |          | 20.0     |
| WACC (%)                                  |         |         |         |        | 10.0     | WACC (%)                                  |         |          |       |         | 9.0      | WACC (%)                                  |          |        |         |         | 8.5      | WACC (%)                                  |       |         |          |          | 8.0      | WACC (%)                                  |         |          |          |          | 7.8      |
| Terminal growth (%)                       |         |         |         |        | 2.5      | Terminal growth (%)                       |         |          |       |         | 3.0      | Terminal growth (%)                       |          |        |         |         | 3.0      | Terminal growth (%)                       |       |         |          |          | 3.5      | Terminal growth (%)                       |         |          |          |          | 3.5      |
| 5y revenue CAGR (%)                       |         |         |         |        | +3.0     | 5y revenue CAGR (%)                       |         |          |       |         | +5.4     | 5y revenue CAGR (%)                       |          |        |         |         | +7.8     | 5y revenue CAGR (%)                       |       |         |          |          | +10.0    | 5y revenue CAGR (%)                       |         |          |          |          | +11.8    |
| Starting revenue (\$B)                    |         |         |         |        | 11.93    | Starting revenue (\$B)                    |         |          |       |         | 11.93    | Starting revenue (\$B)                    |          |        |         |         | 11.93    | Starting revenue (\$B)                    |       |         |          |          | 11.93    | Starting revenue (\$B)                    |         |          |          |          | 11.93    |
| Scenario probability (%)                  |         |         |         |        | 13       | Scenario probability (%)                  |         |          |       |         | 27       | Scenario probability (%)                  |          |        |         |         | 34       | Scenario probability (%)                  |       |         |          |          | 18       | Scenario probability (%)                  |         |          |          |          | 8        |
| 5-YEAR DCF · \$B                          |         |         |         |        |          | 5-YEAR DCF · \$B                          |         |          |       |         |          | 5-YEAR DCF · \$B                          |          |        |         |         |          | 5-YEAR DCF · \$B                          |       |         |          |          |          | 5-YEAR DCF · \$B                          |         |          |          |          |          |
| FY                                        | Rev     | Margin  | FCF     | PV FCF |          | FY                                        | Rev     | Margin   | FCF   | PV FCF  |          | FY                                        | Rev      | Margin | FCF     | PV FCF  |          | FY                                        | Rev   | Margin  | FCF      | PV FCF   |          | FY                                        | Rev     | Margin   | FCF      | PV FCF   |          |
| FY26                                      | 12.29   | +14%    | +1.23   | +1.12  |          | FY26                                      | 12.65   | +15%     | +1.39 | +1.28   |          | FY26                                      | 13.00    | +16%   | +1.56   | +1.44   |          | FY26                                      | 13.24 | +17%    | +1.72    | +1.59    |          | FY26                                      | 13.48   | +18%     | +1.89    | +1.75    |          |
| FY27                                      | 12.66   | +14%    | +1.27   | +1.05  |          | FY27                                      | 13.40   | +16%     | +1.54 | +1.30   |          | FY27                                      | 14.04    | +17%   | +1.76   | +1.49   |          | FY27                                      | 14.70 | +18%    | +2.06    | +1.76    |          | FY27                                      | 15.23   | +19%     | +2.29    | +1.97    |          |
| FY28                                      | 13.04   | +14%    | +1.30   | +0.98  |          | FY28                                      | 14.07   | +16%     | +1.69 | +1.30   |          | FY28                                      | 15.17    | +17%   | +1.97   | +1.54   |          | FY28                                      | 16.17 | +18%    | +2.35    | +1.86    |          | FY28                                      | 17.06   | +19%     | +2.73    | +2.18    |          |
| FY29                                      | 13.43   | +14%    | +1.48   | +1.01  |          | FY29                                      | 14.78   | +16%     | +1.77 | +1.26   |          | FY29                                      | 16.23    | +17%   | +2.19   | +1.58   |          | FY29                                      | 17.62 | +19%    | +2.64    | +1.94    |          | FY29                                      | 18.94   | +20%     | +3.13    | +2.31    |          |
| FY30                                      | 13.83   | +14%    | +1.52   | +0.94  |          | FY30                                      | 15.52   | +16%     | +1.86 | +1.21   |          | FY30                                      | 17.37    | +18%   | +2.43   | +1.62   |          | FY30                                      | 19.21 | +19%    | +2.98    | +2.03    |          | FY30                                      | 20.83   | +20%     | +3.54    | +2.43    |          |
| Σ PV explicit FCF                         |         |         |         |        | +5.10    | Σ PV explicit FCF                         |         |          |       |         | +6.34    | Σ PV explicit FCF                         |          |        |         |         | +7.67    | Σ PV explicit FCF                         |       |         |          |          | +9.19    | Σ PV explicit FCF                         |         |          |          |          | +10.64   |
| + PV terminal (g 2.5%)                    |         |         |         |        | 12.91    | + PV terminal (g 3.0%)                    |         |          |       |         | 20.77    | + PV terminal (g 3.0%)                    |          |        |         |         | 30.28    | + PV terminal (g 3.5%)                    |       |         |          |          | 46.62    | + PV terminal (g 3.5%)                    |         |          |          |          | 58.55    |
| EQUITY BUILD · \$B & PER SHARE            |         |         |         |        |          | EQUITY BUILD · \$B & PER SHARE            |         |          |       |         |          | EQUITY BUILD · \$B & PER SHARE            |          |        |         |         |          | EQUITY BUILD · \$B & PER SHARE            |       |         |          |          |          | EQUITY BUILD · \$B & PER SHARE            |         |          |          |          |          |
| Operating EV                              |         |         |         |        | \$18.01B | Operating EV                              |         |          |       |         | \$27.11B | Operating EV                              |          |        |         |         | \$37.95B | Operating EV                              |       |         |          |          | \$55.81B | Operating EV                              |         |          |          |          | \$69.19B |
| + Cash & investments                      |         |         |         |        | \$1.05B  | + Cash & investments                      |         |          |       |         | \$1.05B  | + Cash & investments                      |          |        |         |         | \$1.05B  | + Cash & investments                      |       |         |          |          | \$1.05B  | + Cash & investments                      |         |          |          |          | \$1.05B  |
| = Equity value                            |         |         |         |        | \$19.06B | = Equity value                            |         |          |       |         | \$28.16B | = Equity value                            |          |        |         |         | \$39.00B | = Equity value                            |       |         |          |          | \$56.86B | = Equity value                            |         |          |          |          | \$70.24B |
| FY30 shares (M)                           |         |         |         |        | 1,300    | FY30 shares (M)                           |         |          |       |         | 1,290    | FY30 shares (M)                           |          |        |         |         | 1,280    | FY30 shares (M)                           |       |         |          |          | 1,270    | FY30 shares (M)                           |         |          |          |          | 1,260    |
| = Expected per share                      |         |         |         |        | \$14.66  | = Expected per share                      |         |          |       |         | \$21.83  | = Expected per share                      |          |        |         |         | \$30.47  | = Expected per share                      |       |         |          |          | \$44.77  | = Expected per share                      |         |          |          |          | \$55.75  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |          |       |         |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |        |         |         |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |       |         |          |          |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |          |          |          |          |
| +5y                                       | +10y    | +15y    | +20y    |        | +5y      | +10y                                      | +15y    | +20y     |       | +5y     | +10y     | +15y                                      | +20y     |        | +5y     | +10y    | +15y     | +20y                                      |       | +5y     | +10y     | +15y     | +20y     |                                           | +5y     | +10y     | +15y     | +20y     |          |
| \$23.61                                   | \$38.02 | \$61.24 | \$98.63 |        | \$33.59  | \$51.68                                   | \$79.52 | \$122.34 |       | \$45.82 | \$68.89  | \$103.59                                  | \$155.76 |        | \$65.78 | \$96.66 | \$142.02 | \$208.67                                  |       | \$81.16 | \$118.15 | \$172.00 | \$250.39 |                                           | \$97.54 | \$142.02 | \$208.67 | \$296.16 |          |
| 0.67×                                     | 1.09×   | 1.75×   | 2.82×   |        | 0.96×    | 1.48×                                     | 2.27×   | 3.50×    |       | 1.31×   | 1.97×    | 2.96×                                     | 4.45×    |        | 1.88×   | 2.76×   | 4.06×    | 5.96×                                     |       | 2.32×   | 3.38×    | 4.91×    | 7.15×    |                                           | 2.99×   | 4.45×    | 6.41×    | 9.24×    |          |

Chipotle Mexican Grill People · Opportunity · Context · Deal

Bear \$21.83 Base \$30.47 Bull \$44.77

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Scott Boatwright

2 yrs in seat

1%  
insider ownership

MEDIUM  
key-person risk

**Capital allocation (realized)**  
Scott Boatwright became CEO in November 2024 (interim from August 2024, after Brian Niccol left for Starbucks); an internal promotion, not a founder. The balance sheet is net cash (\$0 long-term debt); FY2025 net income \$1.54B on \$11.9B revenue, ~\$1.45B FCF, funding aggressive unit growth and a buyback-only return (a \$1.8B authorization added Dec 2025; ~\$2.3B repurchased in 2025), no dividend. Ackman's Pershing Square fully exited in Q4 2025.

**Incentive alignment**  
Boatwright's pay is ~96% variable/equity (FY2024 ~\$19M including transition grants; FY2025 ~\$15.5M). Insider trading is routine 10b5-1 selling. The flag is say-on-pay volatility — two low votes in five years (~51% in 2021, ~55% in 2025, both on one-time equity), each followed by remediation; the 2026 vote recovered to ~95%.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder (Ackman exited Q4 2025)
- Chair and CEO are SEPARATE, with an independent Chair (Scott Maw); 9 of 10 directors independent
- board declassified (annual elections since 2016); all committees independent
- say-on-pay volatility — two sub-60% votes in five years (2021, 2025), both remediated; a recurring pay-design watch-item
- compressed 2024-25 leadership turnover — a new CEO and a new CFO (after a ~24-year CFO) within ~18 months

PEOPLE READ

Structurally clean: single-class one-vote, a separate independent Chair, a 9-of-10 independent declassified board, net cash, no controlling holder. It sits at the lower end of the clean tier because of two real watch-items — a volatile say-on-pay record (two sub-60% votes in five years, both on one-time equity, since remediated) and a compressed CEO-plus-CFO turnover in 2024-25. Key-person risk is moderate given the recency of that turnover, offset by an internal-promote bench and a clean Niccol-to-Boatwright handoff.

THE FOUR LEGS

**People**  
observable composite · 1–5

**Opportunity**  
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

**Context**  
The 7 Powers analysis (Power Audit)

**Deal**  
Open-market purchase = the deal: entry price vs. the scenario distribution (the ~4.8% finding) + position sizing.

Chipotle Mexican Grill supporting analysis · disclaimers · glossary

Bear \$21.83 Base \$30.47 Bull \$44.77

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**Comps finally turned positive — isn't that the inflection?**  
+0.5% is traffic-led with no price; the modal DCF is still -5.5% because ~30x FCF already embeds a re-acceleration the +0.5% doesn't clear.
- 2

**The 7,000-unit runway is a long compounding machine.**  
~4,100 → 7,000 NA is ~10% unit growth, but the base lands ~fair because same-store growth is structurally low and the multiple already pays for it.
- 3

**Margin compression is the live risk, not the runway.**  
RLM fell 250bps to 23.7% as management won't fully price inflation; the swing is whether unit economics (~25%+ RLM) hold while scaling.
- 4

**It's the cheapest Chipotle has been in years.**  
True on the multiple (~30x FCF vs history), but cheap-vs-itself isn't cheap-vs-DCF; the distribution still centers slightly negative.
- 5

**Net cash, p\_fail ~0.**  
~\$1.05B cash and no funded debt — no solvency risk; the downside is multiple/comp/margin, not survival.

FALSIFICATION TRIGGERS

|                                                                                                                                                              |                                                                                                                                                           |                                                                                                                                                                                      |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull validation</b><br>comps re-accelerate with traffic (not price) · RLM recovers toward 25%+ · automation lifts throughput · openings hold toward 7,000 | <b>Bear validation</b><br>comps slide back to flat/negative 2+ quarters · RLM falls below ~23% · inflation stays unpriced and op margin drifts toward 14% | <b>Reframe needed</b><br>if same-store growth stays structurally low AND margin can't hold ~25%, the runway compounds at low unit economics - re-rate toward a maturing QSR multiple |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

|                                                                                                                                                                              |                                                                                                                                                                                          |                                                                                                                                 |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
| <b>Comparable restaurant sales (comps)</b> — Same-store sales growth at restaurants open 13+ months; Q1'26 +0.5%, traffic-led with no price - the central swing signal.      | <b>Restaurant-level margin (RLM)</b> — Restaurant-level operating margin (non-GAAP, 23.7% Q1'26, -250bps YoY) before G&A - the unit-economics gauge that must hold ~25%+ as units scale. | <b>AUV</b> — Average unit volume (~\$3M per restaurant) - the per-store sales base, well above QSR, that sets new-unit returns. |
| <b>Hyphen / makeline automation</b> — Automated digital makeline being tested to speed throughput and lift restaurant margin - the process lever and the bull's margin path. | <b>FCF margin</b> — Free cash flow / revenue (~12% FY25); the mature-DCF swing factor - whether the unit runway and automation convert to free cash flow against growth capex.           |                                                                                                                                 |